XYZ Technologies Pvt. Ltd.

Employee Handbook & Human Resources Policy

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Policy Owner: Human Resources Department | Approved by: Board of Directors | Next review: 31 March 2027

Disclaimer: XYZ Technologies is a fictional company. This document is a sample prepared for training and demonstration purposes (e.g. RAG workshops). It reflects common Indian market practice and the Labour Codes in force from 21 November 2025, but is not legal advice.

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1. About XYZ Technologies & Scope

XYZ Technologies Pvt. Ltd. ("XYZ" or "the Company") is a technology and services company headquartered in Noida, Uttar Pradesh, with offices in Bengaluru and Pune. The Company employs approximately 850 people across Engineering, Product, Sales, Operations and Corporate functions.

1.1 Purpose

This handbook sets out the policies, benefits and expectations that govern employment at XYZ. It is designed to be fair, transparent and compliant with Indian law, including the Code on Wages 2019, the Industrial Relations Code 2020, the Code on Social Security 2020 and the Occupational Safety, Health and Working Conditions Code 2020 (collectively, the "Labour Codes"), effective 21 November 2025.

1.2 Applicability

- Applies to all full-time permanent employees, fixed-term employees and probationers working in India.
- Interns and consultants are covered only by Sections 4, 13, 14, 15 and 16 unless their contract states otherwise.
- Where a state-specific Shops & Establishments rule is more beneficial to the employee, the more beneficial provision will apply.

2. Definitions

Term	Meaning
Permanent Employee	An employee on the Company rolls with no fixed end date, who has completed probation.
Fixed-Term Employee (FTE)	An employee engaged directly on a written contract with a defined start and end date. FTEs receive the same wages, benefits and working conditions as permanent employees in the same role.
Probationer	A newly joined employee serving the probation period defined in Section 3.4.
CTC	Cost to Company: the total annual cost of employment including fixed pay, variable pay and employer statutory contributions.
Wages	As defined under the Code on Wages 2019. Excluded allowances (HRA, conveyance, etc.) may not exceed 50% of total remuneration; any excess is added back to wages.
Reporting Manager	The manager to whom an employee directly reports, as recorded in the HRMS.
HRMS	The Company's Human Resource Management System (XYZ People Portal) used for leave, attendance, payslips and claims.

3. Recruitment, Onboarding & Probation

3.1 Equal Opportunity

XYZ is an equal opportunity employer. Hiring decisions are based on merit, skills and role fit, without discrimination on the basis of gender, caste, religion, disability, age, marital status, sexual orientation or place of origin.

3.2 Employee Referral Programme

Level of hire	Referral bonus	Payout timing
Junior (0–3 years experience)	₹25,000	After the referred employee completes 90 days
Mid (3–8 years)	₹50,000	After 90 days

Level of hire	Referral bonus	Payout timing
Senior (8+ years) / Niche roles	₹75,000	50% at 90 days, 50% at 180 days

Referral bonuses are not payable for referring candidates into one's own reporting line, or if the referring employee has resigned before the payout date.

3.3 Onboarding

- Offer letters are valid for 7 calendar days from the date of issue.
- Background verification (education, previous employment, address and criminal records check) is conducted by an authorised third-party agency. Employment is conditional on satisfactory verification.
- New joiners complete a 5-day induction programme covering culture, policies, POSH awareness and information security.
- Each new joiner is assigned an onboarding buddy for the first 60 days.

3.4 Probation

- Standard probation period is 6 months from the date of joining.
- Probation may be extended once by up to 3 months, with written reasons shared with the employee.
- On successful completion, a confirmation letter is issued through the HRMS within 15 days.
- Notice period during probation is 15 days on either side.
- Probationers accrue earned leave from day one but may avail a maximum of 6 days of earned leave during probation.

4. Working Hours, Attendance & Hybrid Work

4.1 Working Hours

- Standard working week: 5 days (Monday to Friday), 40 hours per week, i.e. 8 working hours per day excluding a 1-hour lunch break.
- Core collaboration hours: 11:00 AM to 4:00 PM IST. Employees may choose flexible start times between 8:00 AM and 11:00 AM.
- Total working hours shall not exceed 48 hours in a week, in line with the OSH Code 2020.

4.2 Overtime

Employees in non-managerial roles who work beyond 48 hours in a week, with prior approval of the Reporting Manager, are entitled to overtime at twice the ordinary rate of wages. Managerial and supervisory roles are not eligible for overtime but may claim compensatory off (see Section 5).

4.3 Hybrid Work Policy

Function	Minimum office days	Notes
Engineering & Product	3 days per week	Team anchor days: Tuesday and Thursday
Sales & Client Services	Client-driven	Field days count as office days
Operations & Support	5 days per week	Shift-based roles
Corporate Functions (HR, Finance, Legal)	3 days per week	Month-end close weeks may require full attendance

- Full remote work is permitted up to 20 working days per calendar year ("Work From Anywhere" days) with manager approval.
- A one-time home-office setup allowance of ₹15,000 is reimbursed on confirmation, plus a monthly internet reimbursement of up to ₹1,000.

4.4 Attendance

Attendance is recorded through the HRMS (biometric swipe in office, web check-in when remote). Three or more unexplained absences in a month will be treated as leave without pay and may attract disciplinary action.

4.5 Night Shifts and Women Employees

Women employees may work night shifts (between 7:00 PM and 6:00 AM) only with their written consent. The Company provides door-to-door cab facility with a security guard or verified GPS tracking for all employees working after 8:00 PM.

5. Leave Policy

The leave year runs from 1 January to 31 December. All leave is applied for and approved through the HRMS. Leave accrues monthly and is pro-rated for employees joining mid-year.

Leave type	Entitlement per year	Carry forward / Encashment	Key conditions
Earned / Privileged Leave (EL)	18 days (1.5 days per month)	Carry forward up to 45 days. Up to 15 days encashable per year on basic pay. Balance encashed at exit.	Eligible after 180 days of work in a year (per OSH Code). Apply 7 days in advance for leave of 3+ days.
Casual Leave (CL)	8 days	Lapses on 31 December. Not encashable.	Max 3 consecutive days. Cannot be combined with EL.
Sick Leave (SL)	10 days	Carry forward up to 30 days. Not encashable.	Medical certificate required for more than 2 consecutive days.
Maternity Leave	26 weeks (first two children); 12 weeks (third child onwards)	—	As per Maternity Benefit provisions. Eligible after 80 days of work in the preceding 12 months.
Adoption / Commissioning Mother Leave	12 weeks	—	For adopting a child below 3 months of age, or commissioning mothers.
Paternity Leave	15 working days	—	To be availed within 6 months of the child's birth or adoption.
Bereavement Leave	5 working days	—	On the death of an immediate family member (spouse, child, parent, sibling, parent-in-law).
Marriage Leave	5 working days	—	Once during employment; within 1 month of the marriage.
Compensatory Off	1 day per full weekend / holiday worked	Must be availed within 60 days	Requires prior manager approval of weekend work.
Menstrual Wellness Leave	1 day per month (12 per year)	Not carried forward	Optional; no certificate required.
Sabbatical (unpaid)	Up to 6 months	—	After 5 years of continuous service; approval from department head and HR.

5.1 Leave Without Pay (LWP)

LWP may be granted only after all applicable leave balances are exhausted, for a maximum of 30 days in a year, with approval of the department head. Unauthorised absence beyond 8 consecutive working days may be treated as abandonment of employment after due notice.

5.2 Sandwich Rule

Weekends and public holidays falling between two days of leave are not counted as leave. XYZ does not apply the sandwich rule.

6. Public Holidays

Employees are entitled to 10 fixed holidays and 2 floating (restricted) holidays per calendar year, i.e. 12 holidays in total. The three national holidays are mandatory for all locations.

Fixed holidays 2026 (Noida HQ)	Date
New Year's Day	1 January (Thursday)
Republic Day	26 January (Monday)
Holi	4 March (Wednesday)
Eid-ul-Fitr	21 March (Saturday) – observed
Independence Day	15 August (Saturday) – observed
Raksha Bandhan	28 August (Friday)
Gandhi Jayanti	2 October (Friday)
Dussehra	20 October (Tuesday)
Diwali	8 November (Sunday) – observed; 9 November (Monday) off
Christmas	25 December (Friday)

Note: Holiday dates are indicative. The final holiday calendar for each location is published on the HRMS in December of the previous year and may differ by state. Floating holidays can be chosen from a published list (e.g. Pongal, Onam, Guru Nanak Jayanti, Good Friday, Eid-ul-Adha) and must be applied 7 days in advance.

7. Compensation & Payroll

7.1 Salary Structure

In line with the Code on Wages 2019, Basic Pay plus Dearness Allowance is set at 50% of fixed CTC for all employees. Indicative structure:

Component	Share of fixed CTC	Notes
Basic Pay	50%	Base for PF, gratuity and leave encashment
House Rent Allowance (HRA)	20% (40% of Basic for non-metro, 50% for metro cities within this band)	Tax exemption per Income Tax rules
Special Allowance	Balance	Flexible component
Employer PF contribution	12% of Basic (capped as per EPFO rules or on actual, as opted)	Part of CTC
Gratuity	4.81% of Basic	Part of CTC, payable as per Section 8.3

7.2 Payroll Cycle

- Attendance cut-off: 25th of each month.
- Salary credit: last working day of the month.
- Payslips are available on the HRMS by the 1st of the following month.

- Tax declarations must be submitted by 30 April; investment proofs by 15 January.

7.3 Variable Pay

Band	Designation examples	Variable pay (% of fixed CTC)
L1–L2	Associate, Engineer	10%
L3–L4	Senior Engineer, Team Lead	12%
L5–L6	Manager, Senior Manager	15%
L7+	Director and above	20–25%

Variable pay is paid annually in May, based on 50% company performance and 50% individual performance rating. Employees must be on the rolls on the payout date and not serving notice to be eligible, except in the case of retirement or death.

7.4 Salary Advance

Confirmed employees may request an interest-free salary advance of up to one month's net salary once in 12 months, recoverable in a maximum of 6 equal monthly instalments.

8. Statutory Benefits (PF, ESI, Gratuity)

8.1 Provident Fund (EPF)

Both employee and employer contribute 12% of Basic Pay to the Employees' Provident Fund. The employer contribution includes 8.33% towards the Employees' Pension Scheme (subject to the statutory wage ceiling). Employees can view their UAN balance on the EPFO portal.

8.2 Employees' State Insurance (ESI)

Employees earning gross wages up to ₹21,000 per month are covered under ESI. Employee contribution is 0.75% and employer contribution is 3.25% of gross wages.

8.3 Gratuity

- Permanent employees are eligible for gratuity after 5 years of continuous service (4 years 240 days is treated as 5 years).
- Fixed-term employees are eligible for pro-rata gratuity after 1 year of continuous service under the contract.
- Formula: Last drawn wages (Basic + DA) × 15 ÷ 26 × number of completed years of service.
- The service requirement is waived in the case of death or disablement.
- Gratuity up to ₹20 lakh is tax-exempt as per current income tax provisions.

8.4 Professional Tax and Labour Welfare Fund

Professional tax and Labour Welfare Fund contributions are deducted as applicable in the state of employment (e.g. Maharashtra and Karnataka).

9. Insurance & Wellness Benefits

Benefit	Coverage	Details
Group Medical Insurance	₹5 lakh per family per year (floater)	Covers employee, spouse, up to 2 children and 2 parents / parents-in-law. Pre-existing diseases covered from day one. Maternity cover ₹75,000 (normal and C-section).
Parental top-up	Additional ₹3 lakh	Optional, premium paid by the employee via payroll.
Group Term Life Insurance	3 × fixed annual CTC	Minimum ₹20 lakh. Company-paid.

Benefit	Coverage	Details
Group Personal Accident	3 × fixed annual CTC	Covers accidental death and disability, 24×7 worldwide.
Annual Health Check-up	Once a year	For employees aged 30+ and their spouse.
Employee Assistance Programme (EAP)	Unlimited	Free, confidential counselling (6 sessions per issue) for employees and dependants via a 24×7 helpline.
Wellness allowance	₹12,000 per year	Reimbursed for gym, sports, yoga or fitness app subscriptions.

10. Performance Management & Appraisal

- XYZ follows an annual appraisal cycle (April to March) with a formal mid-year check-in in October.
- Goals (OKRs) are set within 30 days of the start of the cycle or of joining.
- Employees who have joined on or before 31 December are eligible for the annual appraisal; those joining after 31 December are reviewed in the next cycle.
- Increments are effective 1 April and paid with June salary along with arrears.

Rating	Label	Indicative merit increase	Expected distribution
5	Outstanding	15–20%	~10%
4	Exceeds Expectations	10–14%	~25%
3	Meets Expectations	7–9%	~50%
2	Partially Meets	0–4%	~10%
1	Does Not Meet	0% and PIP	~5%

10.1 Performance Improvement Plan (PIP)

An employee rated 1, or showing sustained underperformance, may be placed on a documented PIP of 60 days with clear, measurable goals and fortnightly reviews. HR is present in the opening and closing PIP discussions.

10.2 Promotions

Promotions are considered once a year, alongside the annual appraisal. An employee must have spent a minimum of 18 months in the current band and received a rating of 4 or above in the most recent cycle. Promotions carry an additional increase of 10–15% over merit increase.

11. Learning & Development

- Every employee receives a learning budget of ₹30,000 per financial year for courses, certifications and conferences.
- Employees are expected to complete a minimum of 40 learning hours per year.
- Higher education sponsorship: up to ₹3 lakh for approved programmes, subject to a service bond of 2 years after completion (pro-rata recovery if the employee exits earlier).
- Certification exam fees are reimbursed in full on passing, for certifications relevant to the role.

12. Travel & Expense Reimbursement

Band	Air travel	Hotel (metro cities)	Hotel (non-metro)	Daily allowance
L1–L2	Economy	Up to ₹4,000/night	Up to ₹3,000/night	₹1,000/day
L3–L4	Economy	Up to ₹6,000/night	Up to ₹4,500/night	₹1,500/day

Band	Air travel	Hotel (metro cities)	Hotel (non-metro)	Daily allowance
L5–L6	Economy (premium economy for 4+ hrs)	Up to ₹9,000/night	Up to ₹6,000/night	₹2,000/day
L7+	Business for 4+ hrs	Actuals (4-star or above)	Actuals	₹3,000/day

- All travel must be pre-approved in the HRMS and booked through the Company travel desk at least 7 days in advance for domestic and 21 days for international travel.
- Metro cities: Delhi NCR, Mumbai, Bengaluru, Chennai, Kolkata, Hyderabad, Pune.
- Local conveyance for official work is reimbursed at ₹10/km for a car and ₹5/km for a two-wheeler, or actual cab fare.
- Expense claims must be submitted with original bills within 30 days of the expense. Claims older than 60 days will not be processed.
- Alcohol, personal entertainment, fines and penalties are not reimbursable.

13. Code of Conduct

All employees are expected to act with integrity, respect and professionalism. The following are key expectations:

- Conflict of interest: Employees must disclose any outside employment, directorship, or financial interest in a vendor, client or competitor. Moonlighting (paid work outside XYZ) requires prior written approval from HR and is not permitted for competitor organisations.
- Gifts: Gifts from vendors or clients above ₹2,000 in value must be declared to HR and may not be accepted in cash.
- Confidentiality: Company and client information must not be shared outside authorised channels, during or after employment.
- Social media: Employees must not post confidential information or speak on behalf of XYZ without authorisation from the Corporate Communications team.
- Substance use: Working under the influence of alcohol or drugs is prohibited. Smoking is allowed only in designated areas.
- Dress code: Business casual on regular days; smart casual on Fridays; formal attire for client meetings.

14. Prevention of Sexual Harassment (POSH)

XYZ has zero tolerance for sexual harassment, in compliance with the Sexual Harassment of Women at Workplace (Prevention, Prohibition and Redressal) Act, 2013. As a matter of Company policy, protection under this section extends to employees of all genders.

- An Internal Committee (IC) is constituted at each office with a minimum of 4 members, a senior woman employee as Presiding Officer, at least half the members being women, and one external member from an NGO or with legal expertise.
- Complaints may be filed in writing to the IC within 3 months of the incident (extendable by another 3 months for valid reasons), by email to posh@xyztech.example.
- The IC will complete its inquiry within 90 days, and the Company will act on the recommendations within 60 days of receiving the report.
- Confidentiality of the complainant, respondent and witnesses is strictly maintained. Retaliation against any complainant or witness is a serious misconduct.
- All employees complete mandatory POSH awareness training within 30 days of joining and annually thereafter.

15. IT, Data Security & Acceptable Use

- Company laptops and accounts are for business use. Limited personal use is permitted if it does not affect work or security.
- Passwords must be at least 12 characters and changed every 90 days. Multi-factor authentication is mandatory for all systems.
- Uploading Company or client data to unapproved external tools, including public generative AI tools, is prohibited. Only Company-approved AI tools listed on the intranet may be used, and no personal or client data may be entered into them unless the tool is approved for that data class.
- Handling of personal data must comply with the Digital Personal Data Protection Act, 2023 and the Company's Data Privacy Policy.
- Any lost device or suspected security incident must be reported to it-security@xyztech.example within 2 hours.
- On exit, all Company assets must be returned on or before the last working day.

16. Grievance Redressal & Whistleblower Policy

16.1 Grievance Redressal

Employees may raise work-related grievances through the HRMS grievance module. The escalation matrix is:

Level	Handled by	Resolution timeline
Level 1	Reporting Manager	7 working days
Level 2	HR Business Partner	10 working days
Level 3	Grievance Redressal Committee (as required under the IR Code)	30 days

16.2 Whistleblower Policy

Employees, vendors and other stakeholders may report suspected fraud, bribery, financial irregularities or serious policy violations to the Ethics Committee at ethics@xyztech.example or through the anonymous ethics hotline. Reports can be made anonymously. Whistleblowers acting in good faith are protected from any retaliation, including termination, demotion or harassment.

17. Disciplinary Procedure

Disciplinary action follows the principles of natural justice. The employee is informed of the allegation in writing and given a fair opportunity to respond.

Stage	Action
Minor misconduct (e.g. repeated late attendance)	Verbal warning, then written warning
Repeated minor misconduct	Final written warning; may affect appraisal and variable pay
Major misconduct (e.g. fraud, harassment, theft, data breach, violence)	Show-cause notice, reply within 7 days, inquiry, and possible suspension pending inquiry, followed by action up to termination

During suspension pending inquiry, the employee will receive a subsistence allowance of 50% of wages for the first 90 days and 75% thereafter, as per applicable law.

18. Separation, Notice Period & Full and Final Settlement

18.1 Notice Period

Category	Notice period (either side)
During probation	15 days
Confirmed employees, bands L1–L4	60 days
Confirmed employees, band L5 and above	90 days
Fixed-term employees	30 days, or as per contract

- Resignation must be submitted through the HRMS. The Reporting Manager must respond within 3 working days.
- Notice period may be waived or shortened at the Company's discretion. Earned leave cannot be adjusted against the notice period.
- If the employee does not serve the required notice, basic pay for the unserved period will be recovered from the full and final settlement.

18.2 Exit Process

- Knowledge transfer and handover must be completed and signed off by the Reporting Manager.
- An exit interview is conducted by HR in the last week of service.
- All Company assets (laptop, ID card, access cards, documents) must be returned by the last working day.

18.3 Full and Final (F&F) Settlement

In line with the Code on Wages 2019, all dues, including salary for days worked, leave encashment of earned leave balance, and any other statutory payments, are paid within 2 working days of the last working day. Gratuity is paid within 30 days of it becoming payable. The relieving letter and experience letter are issued on the last working day, and Form 16 is issued as per the income tax calendar.

18.4 Retirement

The retirement age at XYZ is 60 years. Employees retire on the last day of the month in which they turn 60. Extensions may be granted on a contract basis at the Company's discretion.

19. Policy Amendments & Contacts

XYZ reserves the right to amend these policies in line with business needs and changes in law. Employees will be informed of any change at least 15 days in advance through email and the HRMS. In case of any conflict between this handbook and applicable law, the law prevails.

Query type	Contact
Leave, attendance, HRMS	hr.helpdesk@xyztech.example | Ext. 1100
Payroll and tax	payroll@xyztech.example | Ext. 1200
Insurance and claims	benefits@xyztech.example | Ext. 1300
POSH Internal Committee	posh@xyztech.example
Ethics and whistleblower	ethics@xyztech.example | 24×7 hotline
IT security incidents	it-security@xyztech.example

Annexure A: Quick Reference FAQ

Q. How many earned leaves do I get in a year?

A. 18 days, accrued at 1.5 days per month. You can carry forward up to 45 days.

Q. Can I encash my casual leave?

A. No. Casual leave lapses on 31 December and is not encashable. Only earned leave can be encashed (up to 15 days per year, and the balance at exit).

Q. What is the notice period for a Senior Manager?

A. Senior Manager is band L5–L6, so the notice period is 90 days.

Q. When do I become eligible for gratuity?

A. Permanent employees after 5 years of continuous service; fixed-term employees after 1 year.

Q. How much paternity leave is given?

A. 15 working days, to be availed within 6 months of the birth or adoption.

Q. What is the hotel limit for an L3 employee travelling to Bengaluru?

A. Up to ₹6,000 per night, since Bengaluru is a metro city.

Q. How many days must engineers come to office?

A. 3 days per week, with Tuesday and Thursday as anchor days.

Q. What is the health insurance cover?

A. ₹5 lakh per family per year on a floater basis, covering spouse, 2 children and 2 parents or parents-in-law.

Q. When will I receive my full and final settlement?

A. Within 2 working days of your last working day; gratuity within 30 days.

Q. Can I use ChatGPT or other public AI tools for work?

A. Only Company-approved AI tools may be used, and no client or personal data may be entered into tools not approved for that data.